the company raised the six-year statute of limitations as a defense. *Id.*, at 445. Applying the fraud-based discovery rule, the Court held that the limitations period began to run only upon the Government's discovery of the fraud. *Id.*, at 449. The suit was filed within six years of that date and was therefore timely. *Ibid.*

I do not agree that Rotkiske failed to preserve a fraud-based discovery rule argument in the Court of Appeals. See *ante*, at 15. Rotkiske did raise the issue; he argued that "[a]t the very least, . . . the discovery rule applies to [FDCPA] claims based on false or misleading misrepresentations or other self-concealing conduct." Supp. Brief for Appellant in No. 16–1668 (CA3), p. 13 (citing *Bailey,* 21 Wall., at 350). The Court of Appeals apparently declined to address that argument because Rotkiske had failed to raise "equitable tolling" in his appellate briefs. 890 F. 3d 422, 428–429, and n. 5 (CA3 2018). But failure to raise "equitable tolling" should pose no obstacle to determining whether the discrete fraud-based discovery rule applies to Rotkiske's claim.

Nor do I agree that Rotkiske forfeited the issue by not raising it in his petition for certiorari. See *ante*, at 15. Generously read, Rotkiske asked whether a discovery rule of any kind applies to the FDCPA's one-year statute of limitations. While hardly a model of the deft pleader's art, the petition for certiorari stated that Rotkiske did not learn of Klemm's debt-collection suit and default judgment until long after their occurrence because of the "intended re-service [of Klemm's complaint] at a known incorrect address." Pet. for Cert. 8. His brief on the merits in this Court noted: "Petitioner is not advocating that the Court adopt a generally applicable discovery rule." Brief for Petitioner 16, n. 16. His reply brief was more precise: "The default judgment obtained by [Klemm] at issue in [Rotkiske's FDCPA] complaint was made possible by the filing of a fraudulent Affidavit of Service." Reply Brief 15. Indeed, the Court recognizes that Rotkiske's arguments included "a fraud-specific discovery rule as an equitable doctrine." *Ante*, at 13.

Rotkiske's FDCPA complaint, in my view, falls comfortably within the fraud-based discovery rule's scope. See Brief for Samuel L. Bray et al. as *Amici Curiae* 12–14. Rotkiske alleged that Klemm engaged in "sewer service"—intentionally serving process in a manner designed to prevent Rotkiske from learning of the collection suit. Klemm did so, according to Rotkiske, in order to ensure that Klemm's untimely suit would result in a default judgment that would remain undiscovered until time to oppose that judgment, and to commence an FDCPA suit, ran out. Though Rotkiske did not allege that "sewer service" is itself a practice independently proscribed by the FDCPA, such service is nonetheless a fraudulent abuse that should trigger the fraud-based discovery rule. See Reply Brief 15–17.

The Government urges that the fraud-based discovery rule applies only when the fraudulent conduct is itself the basis for the plaintiff's claim for relief. Brief for United States as *Amicus Curiae* 31–32. That is not so of Rotkiske's complaint, the Government observes, for his claim is premised on the assertion that Klemm's debt-collection suit was time barred.

I do not view the fraud-based discovery rule as so confined and would hold that the rule governs if either the conduct giving rise to the claim is fraudulent, or if fraud infects the manner in which the claim is presented. That understanding of the rule is consistent with its equitable roots and historic rationale. Nearly two centuries ago, Justice Story explained the rule this way: "[E]very statute is to be expounded reasonably, so as to suppress, and not to extend, the mischief[s] which it was designed to cure." *Sherwood* v. *Sutton*, 21 F. Cas. 1303, 1307 (No. 12,782) (CC NH 1828). Because statutes of limitations "preven[t] fraudulent and unjust claims from starting up at great distances of time," a limitations provision "ought not . . . be so construed, as to become an instrument to encourage fraud, if it admits of any other reasonable interpretation." *Ibid.* "[C]ases of fraud, therefore, form an implied exception [to a limitations prescription]," so as not to "permi[t] the defendant to avail himself of his own fraud." *Ibid.* This Court expressed the same understanding of the fraud-based discovery rule in *Bailey.* There, the Court stated: "To hold that by concealing a fraud, or by committing a fraud in a manner that it concealed itself until such time as the party committing the fraud could plead the statute of limitations to protect it, is to make the law which was designed to prevent fraud the means by which it is made successful and secure." 21 Wall., at 349.

Klemm allegedly employed fraudulent service to obtain and conceal the default judgment that precipitated Rotkiske's FDCPA claim. That allegation, if proved, should suffice, under the fraud-based discovery rule, to permit adjudication of Rotkiske's claim on its merits.

* * *

For the reasons stated, I would vacate the judgment of the Court of Appeals for the Third Circuit and remand the case for further proceedings.

PETER, DEPUTY DIRECTOR, PATENT AND TRADEMARK OFFICE *v.* NANTKWEST, INC.

CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE FEDERAL CIRCUIT

No. 18–801. Argued October 7, 2019—Decided December 11, 2019

The Patent Act provides two mutually exclusive methods for challenging an adverse decision by the Patent and Trademark Office (PTO). A dissatisfied applicant may appeal directly to the Federal Circuit, 35 U. S. C. § 141, or, as relevant here, may file a new civil action against the PTO Director in the United States District Court for the Eastern District of Virginia, § 145. Under this second proceeding, the applicant must pay "[a]ll the expenses of the proceedings." *Ibid.*

Respondent NantKwest, Inc., filed a § 145 civil action after its patent application was denied. The District Court granted summary judgment to the PTO, and the Federal Circuit affirmed. The PTO moved for reimbursement of expenses, including the pro rata salaries of PTO attorneys and a paralegal who worked on the case. The District Court denied the motion, concluding that the statutory language referencing expenses was not sufficient to rebut the "American Rule" presumption that parties are responsible for their own attorney's fees. The en banc Federal Circuit affirmed.

Held: The PTO cannot recover the salaries of its legal personnel under § 145. Pp. 28–34.

(a) The "American Rule"—the bedrock principle that "[e]ach litigant pays his own attorney's fees, win or lose, unless a statute or contract provides otherwise," *Hardt* v. *Reliance Standard Life Ins. Co.*, 560 U. S. 242, 253—provides the starting point for assessing whether § 145 authorizes payment of the PTO's legal fees. Contrary to the Government's view, this Court has never suggested that any statute is exempt from the presumption against fee shifting or limited its American Rule inquiries to prevailing-party statutes. Rather, it has developed a line of precedents addressing statutory deviations from the American Rule that do not limit attorney's fees awards to prevailing parties. See, *e. g.*, *id.*, at 254. The presumption against fee shifting is particularly important here because reading § 145 to permit an unsuccessful government agency to recover attorney's fees from a prevailing party "would be a radical departure from longstanding fee-shifting principles adhered to in a wide range of contexts." *Ruckelshaus* v. *Sierra Club*, 463 U. S. 680, 683. Pp. 28–30.

(b) Section 145's plain text does not overcome the American Rule's presumption against fee shifting. Definitions of "expenses," while capacious enough to include attorney's fees, provide scant guidance. The mere failure to foreclose a fee award "neither specifically nor explicitly authorizes courts to shift [fees]." *Baker Botts L. L. P.* v. *ASARCO LLC*, 576 U. S. 121, 128. The complete phrase "expenses of the proceeding" would not have been commonly understood to include attorney's fees at the time § 145 was enacted. Finally, the modifier "all" does not transform "expenses" to reach an outlay it would not otherwise include.

In common statutory usage, the term "expenses" alone has never been considered to authorize an award of attorney's fees with sufficient clarity to overcome the American Rule presumption. The appearance of "expenses" and "attorney's fees" together across various statutes indicates that Congress understands the terms to be distinct and not inclusive of each other. See, *e. g.,* 11 U. S. C. § 363(n). Other statutes that refer to attorney's fees as a subset of expenses show only that "expenses" can include attorney's fees when so defined. See, *e. g.,* 28 U. S. C. § 361. Nor do this Court's cases further the Government's position that the Court has used "expenses" to mean "attorney's fees." See, *e. g., Taniguchi* v. *Kan Pacific Saipan, Ltd.,* 566 U. S. 560, 573.

The Patent Act's history reinforces that Congress did not intend to shift attorney's fees in § 145 actions. There is no evidence that the original Patent Office ever paid its personnel from sums collected from adverse parties. Neither has the PTO, until this litigation, sought its attorney's fees under § 145. When Congress intended to provide for attorney's fees in the Patent Act, it has stated so explicitly. See, *e. g.,* 35 U. S. C. § 285. Pp. 30–34.

898 F. 3d 1177, affirmed.

Sotomayor, J., delivered the opinion for a unanimous Court.

Deputy Solicitor General Stewart argued the cause for petitioner. With him on the briefs were *Solicitor General Francisco*, *Assistant Attorney General Hunt*, *Matthew Guarnieri*, *Mark R. Freeman*, *Charles W. Scarborough*, *Jaynie Lilley*, *Sarah Harris*, *Thomas W. Krause*, *William LaMarca*, *Thomas L. Casagrande*, and *Mai-Trang Dang.*

Morgan Chu argued the cause for respondent. With him on the brief were *Gary N. Frischling*, *Alan J. Heinrich*, and *Michael D. Harbour*.*

Justice Sotomayor delivered the opinion of the Court.

Section 145 of the Patent Act affords applicants "dissatisfied with the decision of the Patent Trial and Appeal Board" an opportunity to file a civil action in the United States District Court for the Eastern District of Virginia. 35 U. S. C. § 145. The statute specifies that "[a]ll the expenses of the proceedings shall be paid by the applicant." *Ibid.* The question presented in this case is whether such "expenses" include the salaries of attorney and paralegal employees of the United States Patent and Trademark Office (PTO). We hold that they do not.

I

A

The Patent Act creates two mutually exclusive pathways to challenge an adverse decision by the PTO. The first per-

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**Charles Duan* filed a brief for the R Street Institute as *amicus curiae* urging reversal.

Briefs of *amici curiae* urging affirmance were filed for the American Bar Association by *Robert M. Carlson*, *Theodore H. Davis, Jr.*, and *Mitchell G. Stockwell*; for the American Intellectual Property Law Association by *Jeffrey I. D. Lewis*, *Sheldon H. Klein*, and *Peter B. Siegal*; for the Association of Amicus Counsel et al. by *Charles E. Miller*, *Robert J. Rando*, and *Alan M. Sack*; for the Association of the Bar of the City of New York by *Philip L. Hirschhorn*, *Timothy P. Heaton*, *Yin Huang*, and *John Gladstone Mills III*; for IEEE-USA by *Rick Neifeld*; for the Intellectual Property Law Association of Chicago by *Charles W. Shifley*, *Robert Resis*, and *Margaret M. Duncan*; for the Intellectual Property Owners Association by *Gregory A. Castanias* and *Kevin H. Rhodes*; for the International Trademark Association by *Lawrence K. Nodine* and *David S. Fleming*; and for the New York Intellectual Property Law Association by *Charles R. Macedo*, *David P. Goldberg*, *Colman B. Ragan*, and *Robert M. Isackson*.

William P. Atkins filed a brief for the Federal Circuit Bar Association as *amicus curiae*.

mits judicial review by direct appeal to the United States Court of Appeals for the Federal Circuit. §141. There is "no opportunity for the applicant to offer new evidence" in a §141 proceeding, and the Federal Circuit "must review the PTO's decision on the same administrative record that was before the [agency]." *Kappos* v. *Hyatt*, 566 U. S. 431, 434 (2012); 35 U. S. C. §144.

The second pathway allows applicants to file a new civil action against the Director of the PTO in federal district court. §145. Unlike §141, §145 "permits the applicant to present new evidence . . . not presented to the PTO." *Kappos*, 566 U. S., at 435. The district court "acts as a factfinder when new evidence is introduced in a §145 proceeding" and must make *de novo* determinations that take into account "both the new evidence and the administrative record before the PTO." *Id.*, at 444, 446. The parties may appeal the district court's final decision to the Federal Circuit. 28 U. S. C. §1295(a)(4)(C).

Because §145 does not limit an applicant's ability to introduce new evidence to challenge the denial of a patent, *Kappos*, 566 U. S., at 439, it can result in protracted litigation. As a condition for permitting such extensive review, the Patent Act requires applicants who avail themselves of §145 to pay "[a]ll the expenses of the proceedings." 35 U. S. C. §145.

B

After the PTO denied respondent NantKwest, Inc.'s patent application directed to a method for treating cancer, NantKwest filed a complaint against the PTO Director in the Eastern District of Virginia under §145. The District Court granted summary judgment to the PTO, and the Federal Circuit affirmed. *NantKwest, Inc.* v. *Lee*, 686 Fed. Appx. 864 (2017). The PTO moved for reimbursement of expenses that included—for the first time in the 170-year history of §145—the pro rata salaries of PTO attorneys and a paralegal who worked on the case.

The District Court denied the PTO's motion to recover its pro rata legal fees as "expenses" of the § 145 proceeding. The court concluded that the statutory language referencing expenses was not clear enough to rebut the "American Rule"—the background principle that parties are responsible for their own attorney's fees. *NantKwest, Inc.* v. *Lee*, 162 F. Supp. 3d 540, 542 (ED Va. 2016). A divided Federal Circuit panel reversed, with Judge Stoll dissenting. *NantKwest, Inc.* v. *Matal*, 860 F. 3d 1352 (2017). The majority expressed "substantial doub[t]" that § 145 even implicated the American Rule's presumption against fee shifting in a case in which the payment was not made to a prevailing party. *Id.*, at 1355. The majority concluded that, even assuming the American Rule presumption applied, the term "expenses" in § 145 "specific[ally]" and "explicit[ly]" authorized an award of fees. *Id.*, at 1356.

The en banc Federal Circuit voted *sua sponte* to rehear the case and reversed the panel over a dissent. *NantKwest, Inc.* v. *Iancu*, 898 F. 3d 1177, 1184 (2018). The majority opinion—now authored by Judge Stoll—held that the American Rule presumption applied to § 145 because it is "the starting point whenever a party seeks to shift fees from one side to the other in adversarial litigation." *Id.*, at 1184 (citing *Baker Botts L. L. P.* v. *ASARCO LLC*, 576 U. S. 121, 126 (2015)). After examining the plain text and statutory history of § 145, the judicial and congressional understanding of similar language, and overarching policy considerations, the majority concluded that "[a]warding '[a]ll the expenses' simply cannot supply the 'specific and explicit' directive from Congress to shift attorneys' fees, and nothing else in the statute evinces congressional intent to make them available." 898 F. 3d, at 1196 (quoting *Alyeska Pipeline Service Co.* v. *Wilderness Society*, 421 U. S. 240, 260 (1975)). We granted certiorari, 586 U. S. 1207 (2019), and now affirm.

II

This Court's "'basic point of reference' when considering the award of attorney's fees is the bedrock principle known as the '"American Rule"': Each litigant pays his own attorney's fees, win or lose, unless a statute or contract provides otherwise." *Hardt* v. *Reliance Standard Life Ins. Co.*, 560 U. S. 242, 252–253 (2010) (quoting *Ruckelshaus* v. *Sierra Club*, 463 U. S. 680, 683 (1983)). The American Rule has "roots in our common law reaching back to at least the 18th century." *Baker Botts*, 576 U. S., at 126 (citing *Arcambel* v. *Wiseman*, 3 Dall. 306 (1796)); see also *Summit Valley Industries, Inc.* v. *Carpenters*, 456 U. S. 717, 721 (1982) (observing that the American Rule "has been consistently followed for almost 200 years"); *Alyeska Pipeline*, 421 U. S., at 257 (referring to the presumption against shifting attorney's fees as a "general" rule).

The Government does not dispute this principle or its pedigree, but argues instead that it does not apply at all. Because the American Rule presumption is most often overcome when a statute awards fees to a "prevailing party," the Government maintains, the presumption applies only to prevailing-party statutes. And because § 145 requires one party to pay all expenses regardless of outcome, the argument goes, it is not a statute subject to the presumption.

That view is incorrect. This Court has never suggested that any statute is exempt from the presumption against fee shifting. Nor has it limited its American Rule inquiries to prevailing-party statutes. Indeed, the Court has developed a "line of precedents" "addressing statutory deviations from the American Rule that do not limit attorney's fees awards to the 'prevailing party.'" *Hardt*, 560 U. S., at 254; see also *Baker Botts*, 576 U. S., at 127–129 (analyzing a bankruptcy provision that did not mention prevailing parties under the American Rule's presumption against fee shifting).

Sebelius v. *Cloer*, 569 U. S. 369 (2013), confirms that the presumption against fee shifting applies to all statutes—

even those like § 145 that do not explicitly award attorney's fees to "prevailing parties." In *Cloer*, the Court interpreted a provision of the National Childhood Vaccine Injury Act that permitted courts to "award attorney's fees . . . 'incurred [by a claimant] in any proceeding on' an unsuccessful vaccine-injury 'petition . . . brought in good faith [with] a reasonable basis for the claim.'" *Id.*, at 371 (quoting 42 U. S. C. § 300aa–15(e)(1)). The Court held that the provision's clear language authorized attorney's fees, even though the statute exclusively applied to unsuccessful litigants. 569 U. S., at 372.

Cloer establishes two points: First, contrary to the Government's suggestion, Congress has indeed enacted fee-shifting statutes that apply to nonprevailing parties. Second, and again contrary to the Government's view, the American Rule applies to such statutes. The Government itself argued in *Cloer* that the presumption against fee shifting applied by default, but maintained that the statute "depart[ed] so far from background principles about who pays a litigant's attorneys' fees that it [could not] be justified without a clearer statement than the Act can supply." Brief for Petitioner in *Sebelius* v. *Cloer*, O. T. 2012, No. 12–236, p. 32. The Court acknowledged the Government's position but concluded that the "rul[e] of thumb" against fee shifting gave way because the "words of [the] statute [were] unambiguous." *Cloer*, 569 U. S., at 380–381 (citing the Government's brief).

The dissenting en banc Federal Circuit Judges also doubted that the American Rule could apply to a § 145 action. They characterized the proceeding as an intermediate step in obtaining a patent and the payment of legal fees as a portion of the application costs. 898 F. 3d, at 1200 (opinion of Prost, C. J.). Yet § 145 has all the marks of the kind of adversarial litigation in which fee shifting, and the presumption against it, is common; the statute authorizes filing a separate civil action where new evidence can be introduced for *de novo* review by a district judge. Thus, the presumption against fee shifting not only applies, but is particularly important because § 145 permits an unsuccessful government agency to recover its expenses from a prevailing party. Reading § 145 to award attorney's fees in that circumstance "would be a radical departure from longstanding fee-shifting principles adhered to in a wide range of contexts." *Ruckelshaus*, 463 U. S., at 683.

The American Rule thus provides the starting point for assessing whether § 145 authorizes payment of the PTO's legal fees.

III

To determine whether Congress intended to depart from the American Rule presumption, the Court first "look[s] to the language of the section" at issue. *Hardt*, 560 U. S., at 254 (internal quotation marks omitted). While "[t]he absence of [a] specific reference to attorney's fees is not dispositive," *Key Tronic Corp.* v. *United States*, 511 U. S. 809, 815 (1994), Congress must provide a sufficiently "specific and explicit" indication of its intent to overcome the American Rule's presumption against fee shifting. *Alyeska Pipeline*, 421 U. S., at 260.

A

The reference to "expenses" in § 145 does not invoke attorney's fees with the kind of "clarity we have required to deviate from the American Rule." *Baker Botts*, 576 U. S., at 126.

Definitions of "expenses" provide scant guidance. The term, standing alone, encompasses wide-ranging "expenditure[s] of money, time, labor, or resources to accomplish a result," Black's Law Dictionary 698 (10th ed. 2014), "charges or costs met with in . . . doing one's work," Webster's New World College Dictionary 511 (5th ed. 2014), and "outlay[s]" for labor, Merriam-Webster's Dictionary of Law 180 (1996); see also N. Webster, An American Dictionary of the English Language 319 (3d ed. 1830) (defining the term broadly to include "the employment and consumption, as of time or labor," or the "disbursing of money"). Though these definitions are capacious enough to include attorney's fees, the mere failure to foreclose a fee award "neither specifically nor explicitly authorizes courts to shift [fees]." *Baker Botts*, 576 U. S., at 128.

Reading the term "expenses" alongside neighboring words in the statute, however, supports a conclusion excluding legal fees from the scope of § 145. The complete phrase "expenses of the proceeding" is similar to the Latin *expensæ litis*, or "expenses of the litigation." This term has long referred to a class of expenses commonly recovered in litigation to which attorney's fees did not traditionally belong. See Black's Law Dictionary 461 (1891) (defining "*expensæ litis*" to mean "generally allowed" costs); 1 J. Bouvier, Law Dictionary 392 (1839) (defining the term to mean the "costs which are generally allowed to the successful party"); *id.*, at 244 (excluding from the definition of "costs" the "extraordinary fees [a party] may have paid counsel"). These definitions suggest that the use of "expenses" in § 145 would not have been commonly understood to include attorney's fees at its enactment.

Finally, the modifier "all" does not expand § 145's reach to include attorney's fees. Although the word conveys breadth, it cannot transform "expenses" to reach an outlay it would not otherwise include. Cf. *Rimini Street, Inc.* v. *Oracle USA, Inc.*, 586 U. S. 334, 341 (2019) ("The adjective 'full' in § 505 therefore does not alter the meaning of the word 'costs.' Rather, 'full costs' are all the 'costs' otherwise available under law").

Section 145's plain text thus does not overcome the American Rule's presumption against fee shifting to permit the PTO to recoup its legal personnel salaries as "expenses of the proceedings."

B

"The record of statutory usage" also illustrates how the term "expenses" alone does not authorize recovery of attorney's fees. See *West Virginia Univ. Hospitals, Inc.* v. *Casey*, 499 U. S. 83, 88 (1991) (looking to statutory usage to determine whether attorney's fees and expert fees were distinct expenses in the fee-shifting context).

That "expenses" and "attorney's fees" appear in tandem across various statutes shifting litigation costs indicates that Congress understands the two terms to be distinct and not inclusive of each other. See, *e. g.*, 898 F. 3d, at 1188 (quoting 11 U. S. C. § 363(n) (allowing trustee to recover "any costs, attorneys' fees, or expenses incurred"); 12 U. S. C. § 1786(p) (permitting courts to "allow to any such party such reasonable expenses and attorneys' fees as it deems just and proper"); 25 U. S. C. § 1401(a) (allowing distribution of funds after payment of "attorney fees and litigation expenses"); 26 U. S. C. § 6673(a)(2)(A) (authorizing recovery of "costs, expenses, and attorneys' fees" against an attorney who "unreasonably and vexatiously" multiplies proceedings); 31 U. S. C. § 3730(d)(1) (permitting recovery of "reasonable expenses . . . plus reasonable attorneys' fees and costs"); 38 U. S. C. § 4323(h)(2) (allowing courts to award "reasonable attorney fees, expert witness fees, and other litigation expenses") (all internal quotation marks omitted)).

While some other statutes refer to attorney's fees as a subset of expenses, they show only that "expenses" can include attorney's fees when so defined. See, *e. g.*, 28 U. S. C. § 361 (authorizing "reasonable expenses, including attorneys' fees"); § 1447(c) ("An order remanding the case may require payment of just costs and any actual expenses, including attorney fees, incurred as a result of the removal"); 29 U. S. C. § 1370(e)(1) ("[T]he court in its discretion may award all or a portion of the costs and expenses incurred in connection with such action, including reasonable attorney's fees"); 42 U. S. C. § 247d–6d(e)(9) (allowing a party to recover "reasonable expenses incurred . . . , including a reasonable attorney's fee").

The Government cites several decisions to argue how, on occasion, this Court has used the term "expenses" to mean "attorney's fees." None of the cases furthers its position. See, *e. g., Rimini Street*, 586 U. S., at 339, 345 (reasoning that the term "costs" in the general federal costs statutes does not include attorney's fees); *Taniguchi* v. *Kan Pacific Saipan, Ltd.*, 566 U. S. 560, 573 (2012) (mentioning that a party may bear "expenses" related to attorneys, without specifying whether these "expenses" include attorney's fees); *Arlington Central School Dist. Bd. of Ed.* v. *Murphy*, 548 U. S. 291, 297–303 (2006) (distinguishing "attorney's fees" from "costs" and "costs" from "expenses," without indicating whether "expenses" encompasses attorney's fees); *Casey*, 499 U. S., at 99 (suggesting that an explicit reference to "expert witness fees" or "litigation expenses" could shift expert fees in addition to attorney's fees—not that the term "litigation expenses" alone could shift attorney's fees).

Simply put, in common statutory usage, the term "expenses" alone has never been considered to authorize an award of attorney's fees with sufficient clarity to overcome the American Rule presumption.

C

In fact, the Patent Act's history reinforces that Congress did not intend to shift fees in § 145 actions.

There is no evidence that the Patent Office, the PTO's predecessor, originally paid its personnel from sums collected from adverse parties in litigation, or that the Office initially even employed attorneys. See Act of July 4, 1836, § 9, 5 Stat. 121 ("[T]he moneys received into the Treasury under this act shall constitute a fund for the payment of the salaries of the officers and clerks herein provided for, and all other expenses of the Patent Office, and to be called the patent fund"). That salaries of PTO employees might have qualified as an "expense" of the agency, however, does not mean that they are an "expense" of a § 145 proceeding. Neither has the PTO, until this litigation, sought its attorney's fees under § 145. That the agency has managed to pay its attorneys consistently suggests that financial necessity does not require reading § 145 to shift fees, either.

In later years, when Congress intended to provide for attorney's fees in the Patent Act, it stated so explicitly. See, *e. g.*, 35 U. S. C. § 285 ("The court in exceptional cases may award reasonable attorney fees to the prevailing party"); § 271(e)(4) ("[A] court may award attorney fees under section 285"); § 273(f) (same); § 296(b) (same); § 297(b)(1) ("Any customer . . . who is found by a court to have been injured by any material false or fraudulent statement . . . may recover . . . reasonable costs and attorneys' fees"). Because Congress failed to make its intention similarly clear in § 145, the Court will not read the statute to "contravene fundamental precepts of the common law." *United States* v. *Rodgers*, 461 U. S. 677, 716 (1983).

The history of the Patent Act thus reaffirms the Court's view that the statute does not specifically or explicitly authorize the PTO to recoup its lawyers' or paralegals' pro rata salaries in § 145 civil actions.

* * *

For the foregoing reasons, we conclude that the PTO cannot recover the pro rata salaries of its legal personnel under § 145 and therefore affirm the judgment of the Court of Appeals for the Federal Circuit.

It is so ordered.

RITZEN GROUP, INC. *v.* JACKSON MASONRY, LLC

CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE SIXTH CIRCUIT

No. 18–938. Argued November 13, 2019—Decided January 14, 2020

An appeal of right lies from "final judgments, orders, and decrees" entered by bankruptcy courts "in cases and proceedings." 28 U. S. C. § 158(a). Bankruptcy court orders are considered final and immediately appealable if they "dispose of discrete disputes within the larger [bankruptcy] case." *Bullard* v. *Blue Hills Bank*, 575 U. S. 496, 501.

Ritzen Group, Inc. (Ritzen) sued Jackson Masonry, LLC (Jackson) in Tennessee state court for breach of a land-sale contract. Jackson filed for bankruptcy under Chapter 11 of the Bankruptcy Code. The state-court litigation was put on hold by operation of 11 U. S. C. § 362(a), which provides that filing a bankruptcy petition automatically "operates as a stay" of creditors' debt-collection efforts outside the umbrella of the bankruptcy case. The Bankruptcy Court denied Ritzen's motion for relief from the automatic stay filed pursuant to § 362(d). Ritzen did not appeal that disposition. Instead, its next step was to file a proof of claim against the bankruptcy estate. The Bankruptcy Court subsequently disallowed Ritzen's claim and confirmed Jackson's plan of reorganization. Ritzen then filed a notice of appeal in the District Court, challenging the Bankruptcy Court's order denying relief from the automatic stay. The District Court rejected Ritzen's appeal as untimely under 28 U. S. C. § 158(c)(2) and Federal Rule of Bankruptcy Procedure 8002(a), which require appeals from a bankruptcy court order to be filed "within 14 days after entry of [that] order." The Sixth Circuit affirmed, concluding that the order denying Ritzen's motion to lift the stay was final under § 158(a), and that the 14-day appeal clock therefore ran from entry of that order.

Held: A bankruptcy court's order unreservedly denying relief from the automatic stay constitutes a final, immediately appealable order under § 158(a). Pp. 41–48.

(a) This Court's application of § 158(a)'s finality requirement is guided by the opinion in *Bullard* v. *Blue Hills Bank*, 575 U. S. 496. Addressing repayment plan confirmations under Chapter 13, the Court held in *Bullard* that a bankruptcy court's order rejecting a proposed plan was not final because it did not conclusively resolve the relevant "proceeding." Rather, the proceeding would continue until approval of a plan. *Id.*, at 502. Pp. 41–42.

(b) In applying *Bullard*'s analysis here, the key inquiry is "how to define the immediately appealable 'proceeding' in the context of [stay-relief motions]." 575 U. S., at 502. Adjudication of a creditor's motion for relief from the stay is properly considered a discrete "proceeding." A bankruptcy court's order ruling on a stay-relief motion disposes of a procedural unit anterior to, and separate from, claim-resolution proceedings. It occurs before and apart from proceedings on the merits of creditors' claims. And its resolution forms no part of the adversary claims-adjudication process, proceedings typically governed by state substantive law. Relief from bankruptcy's automatic stay thus presents a discrete dispute qualifying as an independent "proceeding" within the meaning of § 158(a). *Id.*, at 502–505. Pp. 42–44.

(c) Ritzen incorrectly characterizes denial of stay relief as determining nothing more than the forum for claim adjudication and thus a preliminary step in the claims-adjudication process. Resolution of a stay-relief motion can have large practical consequences, however, including whether a creditor can isolate its claim from those of other creditors and go it alone outside bankruptcy or the manner in which adversary claims will be adjudicated. Moreover, bankruptcy's automatic stay stops even nonjudicial efforts to obtain or control the debtor's assets, matters that often do not concern the forum for, and cannot be considered part of, any subsequent claim adjudication. Ritzen errs in arguing that the order should nonetheless rank as nonfinal where, as here, the bankruptcy court's decision turns on a substantive issue that may be raised later in the litigation. Section 158(a) asks whether the order in question terminates a procedural unit separate from the remaining case, not whether the bankruptcy court has preclusively resolved a substantive issue. Finally, rather than disrupting the efficiency of the bankruptcy process, immediate appeal may permit creditors to establish their rights expeditiously outside the bankruptcy process, affecting the relief sought and awarded later in the bankruptcy case. Pp. 44–47.

906 F. 3d 494, affirmed.

Ginsburg, J., delivered the opinion for a unanimous Court.

James K. Lehman argued the cause for petitioner. With him on the briefs were *Shane G. Ramsey*, *James A. Haltom*, *John T. Baxter*, *A. Mattison Bogan*, *William C. Wood, Jr.*, and *G. Eric Brunstad, Jr.*

Griffin S. Dunham argued the cause for respondent. With him on the brief were *Henry E. Hildebrand IV* and *Jeffrey T. Green.*

Vivek Suri argued the cause for the United States as *amicus curiae* urging affirmance. With him on the brief were *Solicitor General Francisco, Assistant Attorney General Hunt, Deputy Solicitor General Stewart,* and *Mark B. Stern.**

JUSTICE GINSBURG delivered the opinion of the Court.

Under the Bankruptcy Code, filing a petition for bankruptcy automatically "operates as a stay" of creditors' debt-collection efforts outside the umbrella of the bankruptcy case. 11 U. S. C. § 362(a). The question this case presents concerns the finality of, and therefore the time allowed for appeal from, a bankruptcy court's order denying a creditor's request for relief from the automatic stay. In civil litigation generally, a court's decision ordinarily becomes "final," for purposes of appeal, only upon completion of the entire case, *i. e.*, when the decision "terminate[s the] action" or "ends the litigation on the merits and leaves nothing for the court to do but execute the judgment." *Gelboim* v. *Bank of America Corp.*, 574 U. S. 405, 409 (2015) (internal quotation marks omitted). The regime in bankruptcy is different. A bankruptcy case embraces "an aggregation of individual controversies." 1 Collier on Bankruptcy ¶5.08[1][b], p. 5–43 (16th ed. 2019). Orders in bankruptcy cases qualify as "final" when they definitively dispose of discrete disputes within the overarching bankruptcy case. *Bullard* v. *Blue Hills Bank*, 575 U. S. 496, 501 (2015).

The precise issue the Court today decides: Does a creditor's motion for relief from the automatic stay initiate a distinct proceeding terminating in a final, appealable order when the bankruptcy court rules dispositively on the motion? In agreement with the courts below, our answer is "yes." We hold that the adjudication of a motion for relief

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**Craig Goldblatt, Danielle Spinelli, Joel Millar, Ari Savitzky, Henry J. Sommer,* and *Tara Twomey* filed a brief for the National Association of Consumer Bankruptcy Attorneys as *amicus curiae* urging affirmance.

from the automatic stay forms a discrete procedural unit within the embracive bankruptcy case. That unit yields a final, appealable order when the bankruptcy court unreservedly grants or denies relief.

I

In civil litigation generally, 28 U. S. C. § 1291 governs appeals from "final decisions." Under that provision, a party may appeal to a court of appeals as of right from "final decisions of the district courts." *Ibid.* A "final decision" within the meaning of § 1291 is normally limited to an order that resolves the entire case. Accordingly, the appellant must raise all claims of error in a single appeal. See *In re Saco Local Development Corp.*, 711 F. 2d 441, 443 (CA1 1983) (Breyer, J.) ("Traditionally, every civil action in a federal court has been viewed as a 'single judicial unit,' from which only one appeal would lie."). This understanding of the term "final decision" precludes "piecemeal, prejudgment appeals" that would "undermin[e] efficient judicial administration and encroac[h] upon the prerogatives of district court judges." *Bullard*, 575 U. S., at 501 (quoting *Mohawk Industries, Inc.* v. *Carpenter*, 558 U. S. 100, 106 (2009); internal quotation marks omitted).

The ordinary understanding of "final decision" is not attuned to the distinctive character of bankruptcy litigation. A bankruptcy case encompasses numerous "individual controversies, many of which would exist as stand-alone lawsuits but for the bankrupt status of the debtor." *Bullard*, 575 U. S., at 501 (internal quotation marks omitted). It is thus common for bankruptcy courts to resolve discrete controversies definitively while the umbrella bankruptcy case remains pending. Delaying appeals from discrete, controversy-resolving decisions in bankruptcy cases would long postpone appellate review of fully adjudicated disputes. Moreover, controversies adjudicated during the life of a bankruptcy case may be linked, one dependent on the outcome of another. Delaying appeal until the termination of the entire bankruptcy case, therefore, could have this untoward consequence: Reversal of a decision made early on could require the bankruptcy court to unravel later adjudications rendered in reliance on an earlier decision.

The provision on appeals to U. S. district courts from decisions of bankruptcy courts is 28 U. S. C. § 158(a). Under that provision, an appeal of right lies from "final judgments, orders, and decrees" entered by bankruptcy courts "in cases and proceedings." *Ibid.* By providing for appeals from final decisions in bankruptcy "proceedings," as distinguished from bankruptcy "cases," Congress made "orders in bankruptcy cases . . . immediately appeal[able] if they finally dispose of discrete disputes within the larger [bankruptcy] case." *Bullard*, 575 U. S., at 501 (quoting *Howard Delivery Service, Inc.* v. *Zurich American Ins. Co.*, 547 U. S. 651, 657, n. 3 (2006)); see *In re Saco Local Development Corp.*, 711 F. 2d, at 444–447. In short, "the usual judicial unit for analyzing finality in ordinary civil litigation is the case, [but] in bankruptcy[,] it is [often] the proceeding." Brief for United States as *Amicus Curiae* 10.

Correct delineation of the dimensions of a bankruptcy "proceeding" is a matter of considerable importance. An erroneous identification of an interlocutory order as a final decision may yield an appeal over which the appellate forum lacks jurisdiction. Conversely, an erroneous identification of a final order as interlocutory may cause a party to miss the appellate deadline.

II

The dispute at hand involves a contract in which Ritzen Group, Inc. (Ritzen) agreed to buy land in Nashville, Tennessee from Jackson Masonry, LLC (Jackson). The land sale was never effected. Blaming Jackson for the deal's unraveling, Ritzen sued for breach of contract in Tennessee state court. After over a year of litigation, just days before trial was to begin, Jackson filed for bankruptcy under Chapter 11